CSIS AUSTRALIA CHAIR

Australia Daily Brief

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RE: Palau's president rebuffs China on Taiwan ties · Starshield curbs stir Australian defence-sovereignty debate · Fiji to get Australian drones against drug trade · Fiji constitution talks draw 'self-coup' warning · NZ election enters final stretch

ASX 200	AUD/USD	NZX 50	NZD/USD
8,807	0.6947	13,754	0.5646
+1.03%	-0.54%	+0.03%	+0.55%

IN THIS ISSUE Top Stories · Overnight · Stat · Pacific · New Zealand · Canberra · Markets · Upcoming · The Wire

TODAY AT A GLANCE

1. Palau's president publicly rejects Chinese pressure over its Taiwan recognition, the sharpest Pacific pushback on Beijing's diplomatic contest this month.
2. Reports that Washington curtailed Ukraine's access to the Starshield satellite network it shares with Australia reopen questions about Canberra's own defence sovereignty.
3. Fiji's constitutional review draws a 'self-coup' warning as the government holds its consultation timetable, with a referendum possibly rolled into the 2027 election.

TOP STORIES

CHINA-PACIFIC

Palau's president rebuffs Chinese pressure over Taiwan ties

Surangel Whipps Jr., Palau's president, rejected Chinese pressure to abandon Taipei ties, telling reporters the relationship is 'our choice, not yours,' according to Politico. Palau is one of three Pacific Islands Forum members, alongside the Marshall Islands and Tuvalu, that maintain formal diplomatic relations with Taiwan rather than Beijing.

per Politico: "'Our choice, not yours': Palau President stares down China over Taiwan threats"

US-AUSTRALIA

Starshield disruption fuels Australian defence sovereignty debate

Reports that the United States deliberately curtailed Ukraine's access to Starshield, the military-grade satellite system owned by Elon Musk's SpaceX and operated by the US military, have raised fresh questions in Canberra about Australia's own defence sovereignty. ASPI's **Malcolm Davis** and UNSW Canberra's **Jennifer Parker** joined Ukraine's ambassador to Australia, **Vasyl Myroshnychenko**, in warning that Ukrainian drone strike missions were hampered this week by sudden restrictions on the network.

per ABC News: "Starshield incident concerns defence experts"

PACIFIC-DIPLOMACY

Fiji to deploy Australian-supplied drones against maritime drug trade

Fiji will deploy Australian-supplied solar-powered maritime drones to patrol its waters, AFP reported, part of Canberra's push to help Pacific states counter seaborne drug trafficking. Islands Business's PACNEWS wire separately flagged the drones as a tool against the region's rising narcotics trade.

per AFP: "Fiji to deploy solar-powered Australian military drones at sea" · also Islands Business (PACNEWS)

OVERNIGHT

AU-FOREIGN-POLICY

ABC probe links fake Shanghai security firm to Chinese spy network · ABC News

An ABC investigation identified 'Sophy,' a persona used by an alleged Chinese espionage network that ran a fictitious Shanghai security consultancy, purportedly staffed by three retired Australian police officers, to approach Australians on LinkedIn between 2016 and 2025. Targets included a US-qualified lawyer and former Australian Army major; ASIO has separately warned of the online espionage threat.

AU-DEFENSE

Conroy demands ADF culture change after HMAS Leeuwin camera find · ABC News

Pat Conroy, Minister for Defence Industry, called for cultural change across the Australian Defence Force after a hidden recording device was found in the women's quarters on HMAS Leeuwin, docked in Cairns. Navy Chief Vice Admiral **Matt Buckley** ordered fleet-wide checks, and an independent inquiry into military sexual violence is planned later this year.

TRADE-ECONOMY

Liberals break with Nationals' Canavan over EU trade deal stance · ABC News

Nationals leader **Matt Canavan** said both Coalition parties oppose the Australia-EU free trade deal negotiated by Trade Minister **Don Farrell**, a position backed by Senator **Bridget McKenzie**. Two Liberal senators told the ABC the issue remains unsettled and the deal may be better than portrayed, with a joint parliamentary committee expected to scrutinise it early next year.

STAT OF THE DAY

28

Defence Force bases implicated in Commonwealth's PFAS lawsuit against 3M

Reuters valued the claim at $1.4 billion while ABC put it at $2 billion; 3M must file its defence by December 11.

Reuters

PACIFIC WIRE

SOLOMON ISLANDS · ABC PACIFIC

Two Solomon Islands MPs die within a week

Solomon Islands MP **William Bradford Marau**, who represented Ulawa/Ugi and served as a minister under former Prime Minister Manasseh Sogavare, died on Saturday after a long illness. Deputy Speaker **David Gina**, MP for South New Georgia, Rendova and Tetepare, died the following day; Prime Minister **Matthew Wale** called the losses 'a big blow' to his GREAT Coalition government.

COOK ISLANDS · RNZ PACIFIC

Cyclone alert declared for Cook Islands as depression intensifies

The Cook Islands Meteorological Service placed a tropical cyclone alert in force as tropical depression TD01F, located *352 kilometres* north of Suwarrow, intensifies toward the Southern Cook Islands. Forecasters expect gusts up to 93 km/h within 24 to 36 hours, ahead of the cyclone season's official November 1 start.

PAPUA NEW GUINEA · PNG POST-COURIER

Australia, PNG deliver drought relief to North Fly

Australia and Papua New Guinea are jointly delivering up to *ten tonnes* of humanitarian supplies to drought-affected communities in North Fly, Western Province, after a request from PNG's National Disaster Centre, the Post-Courier reported.

REGIONAL · ISLANDS BUSINESS

Pacific police chiefs endorse constitution for new PACPOL body

Pacific police chiefs have endorsed a constitution establishing PACPOL, a new regional police cooperation body, Islands Business's PACNEWS wire reported. The bulletin did not detail PACPOL's mandate or funding.

REGIONAL · ISLANDS BUSINESS

IMF: Pacific Islands hit hardest by food and fuel price shock

The IMF said Pacific Islands economies are suffering the sharpest impact from the global food and fuel price shock, Islands Business's PACNEWS wire reported, alongside a separate IMF warning of growth downgrades across low-income Asian and Pacific economies.

FIJI · FBC NEWS (FIJI)

Fiji referendum could align with 2027 general election

Fiji's Supervisor of Elections **Ana Mataiciwa** said the proposed December 9 constitutional referendum could be combined with the 2027 general election under the National Referendum Act, FBC News reported, as the Fijian Elections Office prepares contingencies for both timelines.

FIJI · FIJI SUN

Fiji confirms sugar exports but withholds volume data

Fiji Sun reported the government has confirmed sugar exports are proceeding this season but has not disclosed shipment volumes, leaving industry estimates of output unconfirmed.

TIMOR-LESTE · ABC PACIFIC

Ramos-Horta warns Indonesian haze risks displacement in Timor-Leste

President **Jose Ramos-Horta** said smoke haze from wildfires in Indonesia's Kalimantan and Papua regions, combined with hot, dry weather, could force internal displacement in Timor-Leste, ABC Pacific reported. Schools have closed and authorities are urging residents to stay indoors as El Nino conditions worsen air quality.

NEW ZEALAND

NZ-POLITICS · RNZ

Peters' 'diversity is disunity' line splits NZ election debate

New Zealand First leader **Winston Peters** set himself apart from rivals by declaring 'diversity is weakness and disunity' in unveiling his party's immigration policy, RNZ reported. All five other party leaders raised their hands when asked in a recent televised debate whether they supported diversity; Peters alone did not, ahead of the November 7 election.

NZ-FOREIGN-POLICY · RNZ

NZSIS to support Fiji intelligence review amid interference claims

Fiji announced a *six-month* partnership with the New Zealand Security Intelligence Service to support a review of its intelligence operations, RNZ reported, amid claims of foreign interference in Fiji.

CANBERRA POLITICS

AU-POLITICS · SMH

Labor could lose half its savings in private health compromise

Labor wants to scrap private health insurance bonuses for *three million* Australians over 65 but lacks Senate support; the Greens want pensioners excluded from the cut, SMH's **Natassia Chrysanthos** reported, a compromise that would halve the budget savings Labor had banked.

AU-POLITICS · GUARDIAN AUSTRALIA

Greens leader denies knowledge of 'secret dossier' on Steele-John

Greens leader **David Shoebridge** denied his office had seen a 47-page document allegedly drafted in 2016 detailing misconduct allegations against Senator **Jordon Steele-John** and how to suppress media coverage, the Guardian reported. The matter has been referred to the parliamentary standards commission after Steele-John stepped aside from the party room.

AU-POLITICS · AFR

Frydenberg can draw a crowd but his primary vote 'is cooked'

Victorian Liberals say former treasurer **Josh Frydenberg** will not nominate for a seat he would lose, and that unless the party's primary vote recovers, he will lose again, the AFR reported, as speculation builds over a possible return to Canberra following his memoir launch this week.

AU-POLITICS · GUARDIAN AUSTRALIA

Chalmers faces 'economic dumpster fire' and Labor disunity

Treasurer **Jim Chalmers** met finance ministers and central bank governors in Bangkok this week as the IMF warned the global economy 'could soon test the limits of resilience,' the Guardian's **Tom McIlroy** reported. Some Labor figures are questioning the government's political strategy as fiscal pressure mounts.

AU-POLITICS · SMH

Cormann warns copying One Nation would leave Australians poorer

Mathias Cormann, a former minister in the Morrison government, said both major parties have failed for 20 years to embrace the reforms needed to lift living standards, SMH reported, warning that copying One Nation's policies would leave Australians worse off.

BUSINESS AND ECONOMY

TRADE-ECONOMY · REUTERS

3M to contest $1.4 billion PFAS lawsuit over Defence bases

3M will argue Australia's PFAS contamination lawsuit, covering *twenty-eight Defence Force bases*, is legally flawed, a Sydney court heard; Reuters valued the claim at $1.4 billion while ABC reported $2 billion. The Commonwealth's statement of claim, citing 310 internal company documents, alleges 3M knew of the chemical's toxicity risks since 1979, with 3M's defence due December 11.

TRADE-ECONOMY · BLOOMBERG

Australia's three-year bond sale draws highest demand since 2018

Australia's latest three-year government bond sale attracted the highest investor demand since 2018, Bloomberg reported, a sign of strong appetite for Australian sovereign debt even as the RBA holds its cash rate at 4.35 percent.

TRADE-ECONOMY · REUTERS

Australia names offshore site for Inpex-led carbon storage project

Australia has designated an offshore site for the Inpex-led Bonaparte carbon capture and storage project, Reuters reported, advancing one of the country's flagship carbon storage ventures tied to its LNG sector.

TRADE-ECONOMY · BLOOMBERG

Rate hike odds ease as Australian unemployment rises

Bloomberg reported that markets are pricing in reduced odds of a near-term RBA rate increase after fresh data showed Australian unemployment rising, a shift from the hawkish tilt seen earlier this year following the RBA's second consecutive hold at 4.35 percent in August.

TRADE-ECONOMY · BLOOMBERG

Victoria's wheat boom to lift global grain supply

Bloomberg reported Victoria is heading for a bumper wheat harvest that will boost global grain supply, adding to Australia's agricultural export outlook as commodity markets navigate elevated fuel and shipping costs.

UPCOMING

OCT 26

Advance voting opens for New Zealand general election

First ballots cast before the November 7 vote that will decide whether the Luxon coalition continues.

NOV 7

New Zealand general election

Determines whether the National-ACT-NZ First coalition continues under Luxon, with Peters' immigration stance a live issue.

DEC 11

3M's defence due in Commonwealth PFAS lawsuit

Sets the next milestone in Australia's largest-ever government lawsuit, covering contamination at 28 Defence Force bases.

THE WIRE

PACIFIC-DIPLOMACY

DEVPOLICY BLOG

Devpolicy: PNG, Fiji lead Pacific Engagement Visa by raw numbers

Devpolicy's **Stephen Howes** and **Finn Clarke** find Papua New Guinea and Fiji lead the Pacific Engagement Visa by raw numbers, but smaller Pacific states are making better use of their allocated quotas two years into the programme.

AUKUS

ASPI STRATEGIST

ASPI: AUKUS is Australia's undersea power strategy, not just a sub deal

The ASPI Strategist argues AUKUS is a long-term strategy for Australian agency in a contested Indo-Pacific rather than a simple submarine purchase, framing undersea power as central to national capability.

AU-FOREIGN-POLICY

LOWY INTERPRETER

Lowy: Houthi threat to Red Sea shipping still touches Australian fuel security

The Lowy Interpreter notes a battlefield defeat has not loosened the Houthis' grip on Red Sea chokepoints that matter to Australian fuel security, warning the shipping threat persists.

ASPI STRATEGIST

ASPI: Treat university research as critical infrastructure

The ASPI Strategist proposes Australia protect strategically sensitive university research using principles from its Security of Critical Infrastructure framework, citing rising foreign interference risks to universities.

GUARDIAN AUSTRALIA

Guardian: Albanese must tread carefully as Trump grows more erratic

Guardian columnist **Tom McIlroy** writes that Prime Minister **Anthony Albanese** must tread carefully as Donald Trump's domestic position weakens ahead of the US midterms, risking a more unpredictable Washington ahead of the G20 leaders summit in Florida.

TRADE-ECONOMY

LOWY INTERPRETER

Lowy: Migration cuts would make Australia poorer, not stronger

The Lowy Interpreter argues underinvestment, not migration, is squeezing Australian housing and services, and that shrinking the migration intake would raise costs rather than ease them.

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↑ BACK TO TOP

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